AcreProfit LLC

Colorado LLC Formation Package

Prepared for Kyle McConnell

Contents

1. Full Formation Checklist
2. Articles of Organization — Filing Guide
3. Operating Agreement (Draft — Ready to Execute)
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AcreProfit LLC — Colorado Formation Checklist

Complete tasks in order. Each step feeds the next.

PHASE 1 — Pre-Filing (Before You File Anything)

1. Confirm name availability: search at sos.state.co.us → Business → Search
2. Confirm 'AcreProfit LLC' includes LLC or L.L.C. in official name — required by CO law
3. Designate a Registered Agent (you, a partner, or a CO-licensed service)
4. Identify principal office address (can be your farm/ranch address)
5. Note: Colorado does NOT require a separate Publication requirement for LLCs

PHASE 2 — State Filing

6. File Articles of Organization online at sos.state.co.us → Business → File a Document
7. Filing fee: $50 (online) or $50 (mail) — credit card online
8. Processing: 1–3 business days online, 3–5 weeks by mail
9. Download and save the stamped/accepted Articles of Organization PDF

PHASE 3 — Federal EIN

10. Apply for EIN at IRS.gov → Businesses → Apply for EIN Online
11. Takes 15 minutes online; EIN issued immediately
12. Elect single-member LLC (default = disregarded entity / Schedule C)
13. Keep EIN confirmation letter (CP 575) on file — you will need it for banking

PHASE 4 — Internal Docs & Banking

14. Execute Operating Agreement (see Section 3 of this document) — not filed with state
15. Open dedicated business checking account using: stamped Articles + EIN + your ID
16. Recommended banks: Farm Bureau Bank, local community bank, or credit union

PHASE 5 — Licenses & Registrations

17. Colorado Sales Tax License (if selling taxable goods): revenue.colorado.gov
18. If selling ag chemicals (AcreProfit): obtain required state pesticide dealer license — CDPHE
19. Check Phillips County/local business license requirements
20. Add to your existing McConnell Enterprises / M77 AG insurance umbrella or get separate policy

PHASE 6 — Ongoing Annual Requirements

21. Colorado Periodic Report: due each year in anniversary month — $10 fee online
22. File at sos.state.co.us — penalty for non-filing is administrative dissolution
23. Update Operating Agreement each time a partner is added

Articles of Organization — Filing Guide

File online at: sos.state.co.us → Business → File a Document → Articles of Organization (LLC)

Required Fields — What to Enter

Field	Enter This
Entity Name	AcreProfit LLC
Principal Office Address	Your farm/ranch address — Haxtun, CO 80731
Registered Agent Name	Kyle McConnell (or licensed agent)
Registered Agent Address	Must be CO physical address — no P.O. Box
Management Structure	Member-Managed (select this — you manage it as sole member)
Formation Type	Domestic LLC
Delayed Effective Date	Leave blank unless you want a future start date

Management Structure — Why Member-Managed

Select Member-Managed. This means you (the member) manage operations directly. If you later add a partner who will manage, you can amend to Manager-Managed or address it in the Operating Agreement. Manager-Managed is typically used when members are passive investors.

After Filing

- Download the stamped Articles from the SOS portal — save as PDF to your McConnell Enterprises SharePoint
- The filing creates the LLC; the Operating Agreement governs how it works
- You do NOT file the Operating Agreement with the state

Operating Agreement

AcreProfit LLC — A Colorado Limited Liability Company

Effective Date	3-11-26
State of Organization	Colorado
Principal Office	Kyle D. McConnell
Initial Member	Kyle McConnell
Initial Membership Interest	100%

Article I — Formation

1.1 Name. The name of the limited liability company is AcreProfit LLC (the "Company").

1.2 Formation. The Company is formed pursuant to the Colorado Limited Liability Company Act, C.R.S. Title 7, Article 80 (the "Act"), and shall be governed by the Act except as otherwise provided herein.

1.3 Registered Agent. The Company shall maintain a registered agent in Colorado as required by the Act.

1.4 Principal Office. The Company shall maintain a principal office at the address designated by the Member from time to time.

1.5 Term. The Company shall have perpetual existence unless dissolved in accordance with this Agreement or the Act.

Article II — Purpose

2.1 The Company is formed for the purpose of engaging in any lawful business activity, including but not limited to: agricultural chemical pooled-order sales, agricultural supply distribution, and related consulting and retail operations.

Article III — Members & Membership Interests

3.1 Initial Member. As of the Effective Date, the sole Member is Kyle McConnell, holding 100% of the Membership Interests.

3.2 Additional Members. The Company expressly contemplates the admission of additional Members in the future. Additional Members may be admitted upon: (a) written amendment to this Agreement executed by all then-current Members; (b) unanimous approval of all then-current Members; and (c) execution of a written Membership Interest Purchase Agreement or Contribution Agreement setting forth the new Member's capital contribution, percentage interest, and obligations.

3.3 Membership Interest. Membership Interest represents a Member's economic rights, voting rights, and management rights as set forth in this Agreement.

3.4 No Certificated Interests. Membership Interests shall not be represented by certificates unless the Member(s) determine otherwise by written resolution.

Article IV — Capital Contributions

4.1 Initial Contribution. The initial Member's capital contribution is as described in the Company's records.

4.2 Additional Contributions. No Member shall be required to make additional capital contributions without that Member's written consent.

4.3 No Interest on Contributions. No Member shall be entitled to interest on any capital contribution absent a separate written agreement.

Article V — Allocations & Distributions

5.1 Allocations. All profits, losses, and tax items shall be allocated to Members in proportion to their Membership Interests.

5.2 Distributions. Distributions shall be made at such times and in such amounts as determined by the Member(s), subject to the Act's restrictions on distributions. Distributions shall be made pro rata in accordance with Membership Interests.

5.3 Withholding. The Company may withhold from distributions any amounts required by applicable tax laws.

Article VI — Management

6.1 Member-Managed. The Company shall be Member-Managed. All Members are authorized to act on behalf of the Company unless a Manager is designated by written amendment.

6.2 Authority of Member. Kyle McConnell, as the sole initial Member, has full authority to: (a) open and manage bank accounts; (b) enter into contracts; (c) purchase and sell assets; (d) hire employees or contractors; (e) execute any document on behalf of the Company.

6.3 Future Management. Upon admission of additional Members, management authority may be restructured by written amendment to this Agreement.

6.4 Conflicts of Interest. A Member with a material conflict of interest in any transaction shall disclose such conflict to all other Members prior to the Company's commitment to the transaction.

Article VII — Transfer of Membership Interests

7.1 Restrictions on Transfer. No Member may Transfer all or any part of that Member's Membership Interest without prior written approval of all other Members, which may be withheld in each Member's sole discretion.

7.2 Right of First Refusal. If any Member ("Selling Member") desires to Transfer any Membership Interest to a third party, the remaining Members shall have the right of first refusal to purchase the interest on the same terms offered by the third party, exercisable within 30 days of written notice.

7.3 Permitted Transfers. Notwithstanding the above, a Member may Transfer Membership Interests to a revocable living trust or wholly-owned entity controlled by that Member, provided the Member retains control and provides written notice to all other Members.

Article VIII — Dissolution

8.1 Dissolution Events. The Company shall be dissolved upon: (a) unanimous written consent of all Members; (b) entry of a judicial decree of dissolution; or (c) as required by the Act.

8.2 Winding Up. Upon dissolution, the Company shall wind up its affairs, satisfy creditors, and distribute remaining assets to Members in proportion to their Membership Interests.

Article IX — General Provisions

9.1 Entire Agreement. This Agreement, together with the Articles of Organization, constitutes the entire agreement of the Members regarding the Company and supersedes all prior agreements and understandings.

9.2 Amendment. This Agreement may be amended only by a written instrument signed by all Members.

9.3 Governing Law. This Agreement shall be governed by the laws of the State of Colorado.

9.4 Severability. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions shall continue in full force and effect.

9.5 Counterparts. This Agreement may be executed in counterparts, each of which shall be an original.

9.6 No Third-Party Beneficiaries. This Agreement is solely for the benefit of the Members and the Company.

Signature Page

IN WITNESS WHEREOF, the undersigned has executed this Operating Agreement as of the date first written above.

Kyle D. McConnell Date: 3-11-26

Kyle McConnell, Sole Member

AcreProfit LLC

EIN Application — Step-by-Step

Apply online at IRS.gov. Takes ~15 minutes. EIN issued immediately.

URL: https://www.irs.gov/businesses/small-businesses-self-employed/apply-for-an-employer-identification-number-ein-online

Step-by-Step

24. Go to IRS.gov → Businesses → Apply for an EIN Online
25. Click 'Apply Online Now'
26. Select Entity Type: Limited Liability Company (LLC)
27. Select: Colorado (state of organization)
28. Number of Members: 1 (single-member)
29. Reason for applying: Started a new business
30. Start Date: use your Articles of Organization effective date
31. Highest number of employees expected in next 12 months: 0 (unless hiring)
32. First date wages paid: leave blank if not hiring immediately
33. Principal activity: Wholesale/Retail Trade (for ag chemical/supply sales)
34. Responsible Party: Kyle McConnell — enter your SSN when prompted
35. Confirm and Submit — EIN is assigned immediately on the confirmation page
36. PRINT OR SAVE the confirmation page AND request the CP 575 letter (mailed in ~4 weeks)

Tax Classification — Important

Classification	Notes
Default (Disregarded Entity)	Income/losses flow to your Schedule C. Simplest option for sole member starting out.
S-Corp Election (Form 2553)	Can reduce self-employment tax once profits exceed ~$40K. Consult your CPA — may complicate adding partners later.
Partnership (when 2nd member added)	Once a partner joins, LLC auto-converts to partnership for tax purposes. File Form 1065 annually. EIN does not change.

Recommendation: Start as disregarded entity (default). Revisit S-Corp election with your CPA when AcreProfit revenue is established.